

AGM Code and Process vs. AGM Manuals

Revised assessment of nine implementation and process findings, incorporating current AGM operating intent. This document covers only code and process alignment against the AGM manuals.

Scope

The review compares documented current-state workflows with the AGM AML Compliance Manual, Financial Sanctions Compliance Policy, and AML/CFT Risk-Based Approach Procedure. Findings marked REVISED recognize controls that already operate and narrow the remaining issue to evidence, coverage, or traceability.

Assessment summary

- Five findings remain materially unchanged: risk calculation, transaction monitoring, regulatory-file integrity, IBKR data freshness, and connected evidence history.
- Four findings are narrowed: daily screening, account creation, IBKR submission, and Accounts Audit.
- The recommended approach generally preserves existing operations and adds authoritative rules, reconciliation, or retained evidence where needed.

1. AML risk calculation does not match the manuals

KEEP - MATERIAL ALIGNMENT ISSUE

The production assessment and the manuals do not identify the same risk model. The production formula may be reasonable, but it is not the formula documented as approved.

CURRENT CODE AND PROCESS

- Process 16 calculates five components: customer 30%, jurisdiction 25%, product 15%, delivery channel 15%, and introducer 15%.
- The RBA Procedure describes four components weighted 35%, 35%, 15%, and 15%.
- The AML Manual and its Annex describe additional, incompatible scoring scales and thresholds.

REMAINING DIFFERENCE FROM THE MANUALS

A reviewer cannot reproduce one authoritative score from the manuals and obtain the same result as the application. The ambiguity also affects when EDD and enhanced review become mandatory.

RECOMMENDED REMEDIATION

- Confirm whether the current five-component production model is AGM's intended model.
- Update the AML Manual, RBA Procedure, and annex so they use one formula, scale, threshold set, and consequence model.
- Retain model version, input values, component scores, final score, and calculation date for every assessment.
- Store manual overrides separately from the calculated result.

2. Daily screening needs coverage verification, not automatic full rescreening

REVISED - NARROWED TO COVERAGE PROOF

A full-population rescreen is not necessary merely because another day passed when the lists and relevant customer data are unchanged and onboarding screening covered every new person.

CURRENT CODE AND PROCESS

- Process 09 screens linked contacts at Hub application finalization when they have no screening history.
- Process 10 exposes contacts, documents, and existing screenings to the AGM employee before IBKR submission.
- The scheduled job skips when OFAC, UK, and UN files are unchanged, before loading the current contact population.

REMAINING DIFFERENCE FROM THE MANUALS

The skip does not itself prove that there were no new, missed, failed, or materially changed contacts. Onboarding tests for any historical screening row, not necessarily coverage against the current source version. The control issue is therefore the evidence supporting the skip, not the decision to avoid redundant screening.

RECOMMENDED REMEDIATION

- Before skipping, confirm no new in-scope contact was added and no required screening is missing or failed.
- Treat relevant changes to name, ownership, role, country, or identity as screening triggers even when the lists are unchanged.
- Retain counts for in-scope, already covered, newly screened, failed, unresolved, and validly skipped contacts.

- Do not create duplicate screening rows when the existing record is current and complete.

3. The compliance decision can occur at IBKR submission

REVISED - INTERNAL ACCOUNT CREATION IS NOT THE ISSUE

Creating an internal AGM application before final CDD approval is reasonable if the record remains a pending application and the formal employee review occurs before it is submitted to IBKR.

CURRENT CODE AND PROCESS

- Process 09 stores the application, creates or links contacts, uploads documents, and performs onboarding screening.
- The record remains an internal pending application until an AGM employee reviews it.
- Process 10 allows the employee to review the application payload, contacts, documents, screenings, and submission prerequisites before sending it to IBKR.

REMAINING DIFFERENCE FROM THE MANUALS

The existing flow provides the review opportunity, but it does not clearly retain the employee's review conclusion and the exact evidence considered at that moment.

RECOMMENDED REMEDIATION

- Keep internal application creation as the intake step.
- At IBKR submission, record reviewer, timestamp, application version, screenings reviewed, documents reviewed, conclusion, and comment.
- Distinguish draft, ready for review, reviewed for submission, submitted, and submission-failed records without preventing early intake.
- Retain the submission attempt and IBKR result with the review evidence.

4. IBKR submission needs traceability, not necessarily a different process

REVISED - EVIDENCE IMPROVEMENT

The employee's decision to send an application to IBKR can remain the practical approval. The needed improvement is an append-only record showing what happened, when, by whom, and why.

CURRENT CODE AND PROCESS

- Process 10 validates the payload, document presence, file data, metadata, document size, and other prerequisites before submission.
- The employee chooses the master account and triggers the IBKR submission.
- The system retains the application and submission result, but not a complete review event.

REMAINING DIFFERENCE FROM THE MANUALS

Current evidence does not prove which exact contacts, documents, screenings, warnings, and application version were reviewed or why the employee considered the application ready.

RECOMMENDED REMEDIATION

- Create an append-only submission-review event.

- Record actor, timestamp, account, application version or checksum, contact ids, document ids, screening ids and dates, warnings, rationale, and selected master account.
- Link the event to the external request correlation id and IBKR result.
- Preserve the current employee workflow unless a later policy decision requires additional approval.

5. Transaction monitoring remains below the manuals

KEEP - MATERIAL ALIGNMENT ISSUE

Process 17 is a useful on-demand review, but it is not yet the recurring, persistent monitoring and investigation process described by the manuals.

CURRENT CODE AND PROCESS

- Flags are calculated only when the Dashboard report is opened.
- The signed Amount > 10,000 test detects positive deposits but not negative withdrawals of the same magnitude.
- The rule, observed value, threshold, reviewer, status, and outcome are not persisted.
- Only append-only freeform comment rows are retained, with no controlled finding or investigation lifecycle.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals describe recurring monitoring, documented investigation, escalation, retained outcomes, and potential suspicious-activity reporting. The current process cannot prove complete period coverage or disposition of each detected issue.

RECOMMENDED REMEDIATION

- Run approved monitoring rules on a documented schedule against a reconciled transaction population.
- Treat transaction direction and absolute magnitude separately so large withdrawals are evaluated correctly.
- Persist account, transaction, rule, threshold, observed value, source, reviewer, status, explanation, escalation, and closure.
- Prevent duplicate findings and connect escalated findings to the restricted investigation process.

6. Accounts Audit provides substantial manual coverage

REVISED - NARROWED TO VALIDITY AND REVIEW EVIDENCE

The relevant views are Account Focus and Contact Focus. They cover considerably more of the manual requirements than the earlier broad finding suggested.

CURRENT CODE AND PROCESS

- Account Focus covers application presence, linked-contact and holder coverage, account-level document categories, financial comparisons, profile comparisons, status, NAV, and exports.
- Contact Focus covers person-versus-company document requirements, document stages, missing categories, IBKR task indicators, responsible user, comments, outreach, uploads, history, and exports.
- Process 22 already documents Account Focus and Contact Focus correctly; there is no relevant Documents Focus view for this comparison.

REMAINING DIFFERENCE FROM THE MANUALS

The remaining difference is narrower: Stage 3 proves that required category names are present, but not necessarily that the documents were reviewed, accepted, current, readable, or consistent with the customer data. The process also lacks a persisted overall audit-run conclusion and reviewer certification.

RECOMMENDED REMEDIATION

- Keep Account Focus and Contact Focus as the operating review.
- Add document validity, expiration, processing, and accepted/rejected state where the manuals require those conclusions.
- Expose material document-versus-profile mismatches when the supporting analysis is available.
- Retain audit-run id, filters, source dates, reviewer, reviewed population, exceptions, and completion conclusion.

7. Regulatory-file review can present misleading assurance

KEEP - KNOWN UPDATE ITEM

The regulatory file is already being updated. The finding should remain as a concrete implementation checklist for that work.

CURRENT CODE AND PROCESS

- Process 18 documents a call to an account-screening route that is not present in the current API.
- Some section failures become empty collections, allowing unavailable screening data to resemble zero results.
- False-positive and true-match values are hardcoded rather than loaded from retained reviewer decisions.
- The review and browser PDF export are not recorded as durable events.

REMAINING DIFFERENCE FROM THE MANUALS

A regulatory file must distinguish a genuine clean result from data that is unavailable, incomplete, failed, or not reviewed. Otherwise the page can give stronger assurance than the underlying evidence supports.

RECOMMENDED REMEDIATION

- Use a valid screening endpoint and expose section-level load state.
- Display zero, unavailable, failed, incomplete, and not-reviewed states distinctly.
- Load true/false-positive outcomes only from retained reviewer dispositions.
- Record reviewer, review date, source-as-of dates, review outcome, and export artifact reference.

8. IBKR details used by compliance reviews can remain stale

KEEP - MATERIAL DATA-FRESHNESS ISSUE

Process 13 can carry forward existing account details and retrieve fresh information mainly for accounts missing from the retained file.

CURRENT CODE AND PROCESS

- Mutable data such as account status, associated persons, addresses, financial information, risk information, and roles can remain unchanged in the backup even when IBKR changed.
- Per-account failures can be skipped without making the output unusable for downstream reviews.

- Screening, Accounts Audit, regulatory-file review, and reporting depend on this dataset.

REMAINING DIFFERENCE FROM THE MANUALS

A recently generated file is not necessarily a current snapshot if existing account records were carried forward. Downstream reviews cannot prove their source population or data freshness without a complete refresh manifest.

RECOMMENDED REMEDIATION

- Request current details for every in-scope account on each scheduled compliance refresh.
- Record expected, requested, successful, failed, skipped, and excluded accounts with retrieval timestamps.
- Classify each run as complete, partial, or failed and retain a snapshot checksum.
- Prevent incomplete runs from replacing the last complete compliance snapshot and display the snapshot date downstream.

9. Compliance actions need a connected evidence history

KEEP - CROSS-PROCESS TRACEABILITY ISSUE

The system retains many useful records, but they do not consistently form a connected history showing what happened, when, by whom, why, and with what result.

CURRENT CODE AND PROCESS

- Existing evidence includes application payloads, screenings, documents, assignments, comments, email attempts, IBKR submission results, and exports.
- Assignments and comments can be updated in place; screening results lack disposition; transaction comments lack a finding lifecycle; and review/export actions are not consistently retained.
- The objective is traceability around existing operations, not wholesale process redesign.

REMAINING DIFFERENCE FROM THE MANUALS

The manuals require retained screening, monitoring, investigation, approval, filing, and related evidence. Isolated current-state records do not always reproduce the sequence of decisions or explain why a later state exists.

RECOMMENDED REMEDIATION

- Add append-only audit events around material actions in the existing processes.
- Record actor, action, timestamp, entity and id, reason, before/after values where relevant, correlation id, related evidence, and external response reference.
- Link review, submission, screening disposition, transaction finding, document change, outreach, and export events.
- Do not overwrite the original calculated result or evidence when a later review, override, or disposition occurs.

End of assessment